4 Trade mark bureaucracies

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I. Introduction

Academic discussions of the justifications for trade mark protection have focused on the arguments that trade marks reduce consumer search costs[1] and protect against misappropriation of other traders' labour and investment.[2] One thing that is striking about these justifications, however, is that they provide little explanation of trade mark *registration*. This disjuncture between the standard justifications for trade mark protection and the existence and operation of registered trade mark systems is significant, because having a registered trade mark system requires a substantial expenditure of resources. Most obviously, a registered trade mark system requires the existence of a bureaucracy to process applications for registration. Less obvious costs flow from having a special class of lawyers (that is, "trade mark agents" or "trade mark attorneys") who

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1 *See, e.g.*, WILLIAM LANDES & RICHARD POSNER, THE ECONOMIC STRUCTURE OF INTELLECTUAL PROPERTY LAW Ch. 7 (2003); Nicholas Economides, *The Economics of Trademarks*, 78 TRADEMARK REP. 523, 525–6 (1988); I.P.L. Png & David Reitman, *Why Are Some Products Branded and Others Not?*, 38 J.L. & ECON. 207 (1995). By allowing consumers to identify products they have enjoyed in the past, trade marks also, on this view, provide traders with incentives to compete on grounds other than price by developing products with particularly desirable properties. It should also be noted that some of the more recent law and economics literature seeks to go beyond the consumer confusion/search cost argument and suggests that trade mark protection provides incentives for traders to invest in the development of new signs. The most sophisticated version of this argument is presented by Vincent Chiappetta, *Trademarks: More than Meets the Eye*, [2003] U. ILL. J.L. TECH. & POL'Y 35. *But see also* LANDES & POSNER, *id.* at 168–72; Megan Richardson, *Trade Marks and Language*, 26 SYDNEY L. REV. 193 (2004).

2 *See, e.g.*, ANSELM KAMPERMAN SANDERS, UNFAIR COMPETITION LAW: THE PROTECTION OF INTELLECTUAL AND INDUSTRIAL CREATIVITY (1997). In this category can also be placed work that seeks to justify trade mark protection on the ground that trade marks are important cultural artefacts, *e.g.*, Massimo Sterpi, *Trademarks as Social Characters: The New Legal Issues of Identity Protection*, Address at the Twelfth Annual Fordham Intellectual Property Conference, (Apr. 15–16, 2004).

are only licensed to practise in the registered trade mark field and even in having university courses and books that deal exclusively or predominately with the law of registered trade marks. The mere fact that registration systems are now largely self-funding (that is, the fees paid by trade mark applicants cover the salaries of those working within trade mark offices in most countries) should not blind us to the fact that the resources expended on the trade mark bureaucracy and on the other activities mentioned above could be employed in other ways.

It is notable that the function of registration tends to be much better addressed in relation to other intellectual property rights than it is in the trade mark context.[3] For example, it is commonly understood that patent registration forms part of the "bargain" between the inventor and the public, with the patentee being required to disclose the invention to the public through the registration process in return for the grant of the patent.[4] It is also notable that patent protection seems inevitably to require the existence of a registration

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[3] It is possible to draw a further distinction between the function of "registration" and the function of "examination". This is not, however, a distinction on which this chapter will dwell. As is explained below, a "bare registration" or "deposit" system would be incompatible with the information function of the trade mark register.

[4] Clarisa Long has argued that this explanation of the role of registration has obscured the "signal value" of patents, that is, that obtaining patents can be a cost effective way of transmitting information to third parties (in particular, to potential investors), for example, as to the vitality of a firm's research and development programme. *See* Clarisa Long, *Patent Signals*, 60 U. CHI. L. REV. 625 (2002). The possibility that trade mark registration might perform a similar signalling function is not explored at length in this essay. It might be noted, however, that it is not immediately obvious that trade mark registration provides the sort of signal that Long describes. It is possible that the number of trade marks registered by a firm might be treated as a surrogate marker for a firm's commitment to brand development or to innovation in product design or marketing strategy. However, there would have to be robust evidence that potential investors look at registered trade marks in this way before a plausible case for registration could be built around signal value. Still more importantly, it would also be necessary to demonstrate that investors are right to treat registered trade marks in this way. That is, it would be necessary to demonstrate that trade mark registration does not, in fact, provide misleading information about a firm's underlying characteristics or performance. *Cf.* Long, *supra.* at 660–63. For example, it would be necessary to show that a multiplicity of registrations does not indicate a lack of marketing focus or a confused approach to brand development, rather than a commitment to innovation. Moreover, it might well be the case that there are more efficient and reliable ways for firms to communicate to the market their commitment to brand building, innovation in marketing and so forth: it is far from obvious that the number of trade mark registrations provides a better surrogate marker for these aspects of a firm's performance than details of advertising and marketing budgets, *etc. Cf.* Long, *id.*, for a discussion of the difficulty of communicating information about research performance in the absence of patent protection.

system, or at least there seems to be a broad consensus to the effect that insofar as patent protection is justifiable at all, it ought to depend on the would-be owner of the invention lodging an application with a central registry.[5] In contrast, it is clearly possible to devise robust legal mechanisms to protect trade marks that are not dependent upon registration—most countries already provide protection for unregistered marks through one means or another.

If a registered trade mark system creates costs of various kinds, and if there are perfectly good methods of protecting trade marks that do not require marks to be registered, there is a clear need for attention to be given to reasons why providing a facility for trade mark registration might be thought desirable. In this respect trade mark and designs law share something in common, since many countries have systems for protecting both registered and unregistered designs that sit alongside one another. Significantly, the existence of these dual forms of protection has drawn attention to the merits of requiring or providing a facility for design registration.[6] A similar debate needs to take place in relation to trade marks.

The difficulty is that it is hard to find a truly convincing justification for trade mark registration. This is not to say that registration fails to perform any useful function, but rather that the public benefits offered by registration do not seem sufficient to justify the elaborate edifices that registered trade mark systems have become. It might, therefore, be possible to make a case for the abolition of trade mark registration. However, given that trade mark registration now forms an integral part of commercial life in most developed countries, it would be both premature and, from a practical perspective, pointless to call for the abolition of trade mark registration. Recognition of the problematic nature of trade mark registration ought instead to be treated as a spur for thinking about how trade mark registration can best be made to serve useful ends. Such an assessment requires careful attention to be paid to the way registered trade mark systems function. Specifically, this means that consideration needs to be given to the way trade mark bureaucracies operate and to how such

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5 Indeed, dating back to the mid-nineteenth century, when nations began to establish modern patent systems, there does not seem to have been any sustained interest in moving patent protection to a more copyright-like model (although, as is noted below, support has been expressed at times for greater reliance on a petty patent model, that is, a system in which examination is deferred until it is requested by the owner, for example, because the owner wishes to commence infringement proceedings).

6 *See, e.g.*, *Report of the Committee to Consider the Law on Copyright and Designs* 1977 (Cmnd. 6732) ¶ 131 (UK); Lionel Bently, *Requiem for Registration? Reflections on the History of the United Kingdom Registered Designs System, in* 1 PERSPECTIVES ON INTELLECTUAL PROPERTY: THE PREHISTORY AND DEVELOPMENT OF INTELLECTUAL PROPERTY SYSTEMS (Alison Firth ed., 1997); UMA SUTHERSANEN, DESIGNS LAW IN EUROPE 103–07 (2000).

bureaucracies interact with courts, other government agencies, users of the trade mark system and their legal representatives. Unfortunately, such an analysis suggests that there are likely to be significant obstacles to ensuring that trade mark registration becomes better focused on achieving publicly desirable goals. Whilst recognition of such obstacles undermines further the case for registration, it is only once we have reached this point that we can gain a clear picture of the consequences of providing protection for trade marks as a species of bureaucratic property.

II. The clearance cost argument for registration

To the extent that the role of trade mark registration is ever addressed, it is usually done so in terms of the advantages that registration confers on the registered proprietor. For example, it is often pointed out that compared to relying on unfair competition law or a passing off action or some similar mechanism, it is relatively easy to establish infringement of a registered mark. Similarly, in the context of US law, it is pointed out that the conferral of incontestability on a registered mark that has been in continuous use for five consecutive years confers a significant quiet title benefit on the registered owner.[7] The advantages conferred by registration provide an incentive for traders to register their marks, but such incentives are only desirable if the registered trade mark system ultimately confers a benefit on the public. As with other intellectual property systems, the public benefits that might be said to flow from registration lie, for the most part, in the value of the trade mark register as a source of information. For example, one can defend registration on the basis that the trade mark register provides valuable information about the ownership of trade signs, as is discussed below. The strongest informational argument for the value of trade mark registration, however, is that it enables those engaged in trade, and the public more generally, to discover quickly and cheaply which signs third parties have already claimed. In order for a trade mark register to perform its function effectively on this view, it is essential that it reflect, as accurately as possible, marks that enjoy legal protection.

As regards the final point about the need for the trade mark register to convey accurate information, one might at first think that much the same could be said in relation to other intellectual property rights. It is important, however, to appreciate that there are significant differences between the nature of the information communicated by the trade mark system and the nature of the information communicated by other intellectual property registration systems. In the case of trade marks, registration ought to make it easier for third parties to ascertain whether a mark enjoys legal protection. The benefits

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[7] *See* 15 U.S.C. § 1065 (2000).

of registration come in the form of reduced clearance costs, but such benefits will only manifest themselves to the extent that those consulting the register are able to rely on the information contained therein. If the register misinforms, by failing to record marks that enjoy legal protection or by incorporating marks that would not survive a legal challenge, the function of registration is undermined—it will still be necessary to conduct searches for marks that are protected in the marketplace but do not appear on the register and/or to look behind the registration to see whether the mark ought really to be on the register.

The information communicated by patent and design registers is, in contrast, quite different. The value of the information contained on such registers lies in the record they provide of novel technologies and innovations in design. The fact that some inventions and designs will inevitably remain unregistered means that the information on patent and designs registers will always be incomplete, but this does not call into question the value of the information that is included on the register. The same is true even as regards poor quality or "invalid" patents (also read designs) that find their way onto the register. Whilst such patents may create a net social cost, viewed solely from the perspective of the information function of the register, they only detract from the value of the register insofar as they clutter it and make it more difficult to search. Moreover, even the point about poor quality patents cluttering the register must be treated with caution, since it is perfectly possible that such patents will contain information useful to those consulting the register, even if it would have been better overall if the office had never issued the patents.

Differences between the nature of the information communicated by trade mark registers on the one hand and patent (and design) registers on the other also mean that there is much less scope for arguing that the costs expended on rigorous assessment of validity are better deferred until infringement proceedings. In the patent context, some scholars have argued that because relatively few patented inventions have commercial value, it makes little sense to police all applications vigorously. Rather, it has been said that inevitably costly inquiries as to validity should be postponed until a patent is litigated.[8] In the trade mark context, however, deferring questions of validity in this way would largely remove the benefits of registration for both third parties and owners. Those consulting the register would have no certainty that the mark was valid; a "bare" or "deposit" system for trade mark registration would be incompatible with a doctrine of incontestability and with many of the rules that make it easier to prove infringement of registered as opposed to unregistered marks.

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8 *See, e.g.*, F. Scott Kieff, *The Case for Registering Patents and the Law and Economics of Present Patent-Obtaining Rules*, 45 B.C. L. REV. 55 (2003); Mark Lemley, *Rational Ignorance at the Patent Office*, 95 NW. U. L. REV. 1495 (2001).

In summary, in order to be justified on the ground that registration reduces clearance costs, the registered trade mark system 1) would have to provide a comprehensive picture of signs that are protected in the marketplace; and 2) would have to ensure a much higher level of fidelity in the information contained on the register than is true in the case of other forms of registered intellectual property. Unless the system meets these objectives, providing a facility for registering trade marks will not significantly reduce clearance costs (and might even increase such costs). At present it is clear that registered trade mark systems are failing to achieve either of these goals, with the result that what initially appears to be the strongest argument for registration breaks down. One can best illustrate the unreliability of the information communicated by the trade mark register by taking as a starting point the hypothetical person who searches the register regularly with a view to determining whether it is safe to use particular signs in the course of trade. This person will soon discover that searches of the trade mark register generate frequently both false negative results (that is, cases where the search fails to reveal that a legally protected, confusingly similar, sign is already in use in the marketplace) and false positive results (that is, cases where the search identifies a mark that has been incorrectly entered or maintained on the register).

A. The problem of false negatives

Most jurisdictions recognise that trade mark registration must be a voluntary act—there are few (if any) countries that require trade mark registration as a precondition to being allowed to trade. In and of itself, this fact limits the utility of the trade mark register as a source of information. This is because, leaving aside any question of potential legal liability, a trader might wish to consult the register with a view to ensuring that it chooses a sign that will help position itself some distance from its competitors. However, consulting the register would only provide a very limited picture of what is occurring in the marketplace, and a trader motivated by the desire to ensure that it adopts an "original" sign would have to investigate the market for itself.

The voluntariness of registration would inevitably limit the ability of the register to provide an accurate reflection of what is occurring in the marketplace, but the position is made much worse by the fact that few countries require registration even as a precondition for trade mark protection. Rather, unregistered trade marks are protected through a variety of mechanisms—through specific legislative provision,[9] through general unfair competition

[9] For example, in the United States, the Lanham Act makes express provision for the protection of both registered and unregistered trade marks.

laws[10] or through common law actions such as the tort of passing off. It is important to emphasise that there are good arguments of principle for protecting unregistered marks. Most obviously, a failure to provide such protection might lead to significant consumer confusion. In addition, protection for unregistered marks recognises that some traders will inevitably remain unaware of the benefits of registration or will be unable or unwilling to incur the expense of registration. However, whilst there is a strong case for the protection of unregistered marks, such protection has the potential to undermine significantly the effectiveness of the registered trade mark system as a source of information. A trader who consults the register in order to determine whether it is safe to use a particular sign can never safely rely on a finding that no confusingly similar sign has been registered. The trader will still need to conduct expensive and time-consuming searches in order to determine which other signs may enjoy protection in the marketplace. Accordingly, the information provided by the trade mark register would only be of limited use to the hypothetical trader who was making decisions about how to position itself within the market or who was concerned about its potential legal liability. Consequently, the claim that trade mark registration reduces business clearance costs needs to be treated with considerable caution.

When one takes account of how real market actors are likely to behave, the argument that trade mark registration lowers clearance costs seems even less convincing. Although there is a need for more empirical research to be conducted into how different types of business use registered trade mark systems, the evidence that is available suggests that many small and medium-size enterprises undertake few formal steps to check for the existence of prior conflicting trade marks.[11] Rather, firms often assume that registration of a business or company name provides immunity from a claim of trade mark infringement, reflecting considerable confusion about the rules of both trade mark acquisition and trade mark infringement.[12] The fact that small and medium-size enterprises often have little understanding of the mechanics of trade mark protection casts further doubt on the usefulness of the register as a source of information. But beyond this there is a case to be made that trade mark registration may in fact create additional dangers for the types of business that are

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10 For example, it is possible to prevent the unauthorised use of an unregistered trade mark in Australia by reference to the Trade Practices Act 1974 (Cth), § 52.

11 *See* Australian Advisory Council on Intellectual Property, *A Review of the Relationship between Trade Marks and Business Names, Company Names and Domain Names* (March 2006), *available at* http://www.acip.gov.au. This report draws on evidence from a range of countries and on the results of specially commissioned market research.

12 *Id.* at 1, 27, 29–30.

unlikely to consult the register. In many jurisdictions protection for unregistered marks is geographically limited and only arises once a mark is in use and has begun to attract consumer recognition. In contrast, registered trade mark rights normally apply throughout the jurisdiction in question[13] and the vast majority of countries now provide for the registration of marks whose use has not yet commenced. This means that small and medium-size enterprises are much more likely to be caught out by the registered trade mark system than they are by protection for unregistered marks. Traders who know their market well are likely to have a fair degree of awareness of the marks their competitors are using and may well have a general sense that choosing to employ a sign similar to one that is already in use would be a risky business strategy. Such traders are much more likely to fall foul of a mark that has been registered by a business that only operates on the other side of the country or by a mark which has been registered but whose use has not yet commenced than they are by any rights that may subsist in an unregistered mark.

If small and medium-size enterprises often make little use of the information provided by the trade mark register and if trade mark registration might, in fact, create significant additional risks for such enterprises, registration would at least seem to provide important information to larger businesses and other businesses that are particularly well informed. But, to reiterate, any business falling into this category is also going to know that it will not be safe to rely on the results of a search of the register alone. Nevertheless, one might defend the register as providing businesses that consult it with an early indication of marks that it will not be safe to use. In other words, even if it will always be necessary to investigate whether a confusingly similar mark is protected at common law, at least this inquiry can be commenced from a much higher knowledge base. However, even this argument cannot be accepted at face value, since it ignores the possibility that the register will misinform by containing illegitimate marks—the chance that a search of the register may produce a "false positive" result.

B. The problem of false positives

It is important to emphasise that the danger that the register will contain marks that ought never to have been registered or that ought not to be maintained on the register is not merely a product of human fallibility; the problem goes beyond the fact that some unregistrable marks will inevitably slip through the net. Nor is the problem simply that some of the factors that determine regis-

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13 Some countries do, however, make special provision to deal with marks that have only enjoyed "localised use." *See, e.g.*, Trade Marks Act 1995 (Cth), §§ 44(3), 102 (Australia).

trability, such as the levels of inherent and acquired distinctiveness enjoyed by a mark, are inherently uncertain in their application. Rather, as is discussed below, the attitude of the bureaucracy means that the registry is unlikely to prove as diligent in preventing invalid marks from getting onto the register as might be expected.[14] Moreover, in addition to such institutional considerations, there are elements of the legislative frameworks that govern registered trade marks that make it almost inevitable that large numbers of invalid marks will be sitting on the register at any given time.

One reason why searches of the register will not infrequently produce false positive results flows from the way that trade mark systems deal with the requirement that trade marks be used in order to remain on the register. As has been explained in detail elsewhere, the principal justifications for trade mark protection (that is, to reiterate, that trade marks reduce consumer search costs and protect against misappropriation of another's labour and investment) suggest that only marks that are being actively exploited in the marketplace should remain on the register.[15] Most countries do impose a requirement of use in order for a mark to remain on the register. However, there appears to be a growing sense that registers are becoming cluttered with unused marks and that this is beginning to create significant problems for legitimate traders. It is notable, for example, that in recent reviews of the registered trade mark system in Australia the problem of non-use has been much discussed,[16] and that this issue has even attracted some attention in the general press in the UK.[17]

Growing concern about the problem of non-use is unsurprising given that the procedural mechanisms for detecting and cancelling unused marks are often unsatisfactory. For example, the trade mark rules in many countries draw no distinction at the point of application between marks that are already in use and marks that are being applied for on the basis of "intent to use."[18]

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14 *See infra* Section IV.

15 *See* Lionel Bently & Robert Burrell, *The Requirement of Trade Mark Use*, 13 A.I.P.J. 181, 185–6 (2002).

16 *See* Australian Advisory Council on Intellectual Property, *Review of Enforcement of Trade Marks*, Feb. 2002 at 27–9; *Review of Trade Mark Enforcement*, Apr. 2004 at 25, *available at* http://www.acip.gov.au; IP Australia, *Trade Marks Legislation Review—Paper 2*, Mar. 2004 at 7–9; *Trade Marks Legislation Review—Paper 3*, Sept. 2004 at 23–7, *available at* http://www.ipaustralia.gov.au.

17 *See Getting Back Proper Brand Names*, THE TIMES, Feb. 13, 2006.

18 It might be noted, however, that a distinction will subsequently be drawn during the examination process in cases where the registry treats the mark as lacking inherent distinctiveness. *See, e.g.*, Australian Trade Marks Act 1995 (Cth) §§ 41(3) (no need to provide any details of intent to use or evidence of actual use in cases where the mark is "inherently adapted to distinguish"; 41(5) (details of intent to use and/or

Consequently, in many countries there is no requirement that applicants prove that use has started within a reasonable period in intent-to-use cases. This leaves the system open to abuse by those who are prepared to lodge speculative trade mark applications in the hope of selling marks to traders who are later inconvenienced by the registrations in question. Mechanisms for detecting marks that have been registered and used, but whose use has stopped, are similarly unsatisfactory in many jurisdictions: registration lasts for a long period of time, registrars are generally not given *ex officio* powers to initiate revocation proceedings for non-use,[19] renewal costs tend to be low, there is generally no requirement of proof of use on renewal and, in some countries at least, minimal use is sufficient to maintain a mark on the register.[20]

The most obvious response to the problem of non-use is to suggest that there ought to be a fundamental overhaul of existing mechanisms for detecting unused marks and removing them from the register. Reforms of this type certainly merit serious consideration. However, it is important to note that the international conventions governing trade mark law make dealing with the problem of non-use difficult, perhaps in no small part because the function of trade mark registration is so poorly understood. For example, these conventions require that the initial period of trade mark protection and each renewal last for a significant period of time: seven years in the case of TRIPS,[21] ten years in the case of the Trademark Law Treaty.[22] Equally importantly, the Trademark Law Treaty prohibits making renewal dependent upon the owner providing a declaration or evidence of use.[23]

It is also worth saying something about the extent of the problem in the United States. For many years the United States has adopted a robust approach to ensuring that only marks that are being actively exploited remain on the register. Specifically, until relatively recently it was not possible to register a mark prior to its actual use. Although it is now possible to lodge an application on the basis of intent to use, registration is still dependent on proof of

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evidence of actual use required in cases where the mark is "to some extent inherently adapted to distinguish the designated goods or services"; 41(6) (evidence of actual use before the filing date required in cases where the mark is "not to any extent inherently adapted to distinguish the designated goods or services").

19 *But see* Trade-marks Act, R.S.C, c. T-13, § 45(1) (1985) for the position in Canada. *See also* Sheldon Burshstein, *Trade Mark "Use" in Canada: The Who, What, When, Why and How (Part II)*, 12 I.P.J. 75, 97–9 (1998).

20 All of these defects characterise the present position in Australia. *See* Robert Burrell, *The Requirement of Trade Mark Use: Recent Developments in Australia*, 16 A.I.P.J. 231 (2005).

21 TRIPS Agreement, art. 18. (1994).

22 Trademark Law Treaty, art. 13(7) (1994), *see also* Singapore revision, art. 13(5) (2006).

23 Trademark Law Treaty at art. 13(4), *see also* Singapore revision, art. 13(2).

actual use.[24] The United States also continues to require owners to provide periodically affidavits of use, and failure to do so results in cancellation of the registration.[25] Yet despite this robust approach to the problem of non-use, there is reason to suggest that very significant numbers of unused marks sit on the register for long periods of time in the United States—for example, in view of a 1987 report estimating that 23% of registrations over six years old represented unused "deadwood."[26] It seems reasonable to suggest that if the United States has been unsuccessful in keeping unused marks off the register, and if the international conventions prohibit the adoption of the type of draconian measures that would be probably be required to really get on top of the problem (such as requiring annual renewal coupled with a requirement that the owner provide evidence of actual use over the previous twelve months), it seems inevitable that large numbers of unused marks will remain registered around the world.

Searches will thus not infrequently reveal marks that ought to be struck off the register for non-use. False positive results of this type are particularly problematic, since in these cases the register is actively misinforming the public. The presence of the mark on the register may well be sufficient to deter any further inquiry and, even if the person who discovers the registration then goes on to investigate what is occurring in the marketplace, the position will only be rectified if that person takes the trouble to launch non-use proceedings. The register may thus not merely fail to reduce clearance costs, it may actually increase the costs of doing business.

The failure of registries to deal adequately with the problem of non-use provides a fairly straightforward illustration of why searches of the register will produce false positive results. It is also worth pointing out, however, that false positive results can be generated by the presence of marks on the register that are vulnerable to cancellation because they conflict with some earlier

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24 Although it is also worth noting that the United States does not require use prior to issuing a registration for an application that was based on Article 6^{quinquies} of the Paris Convention for the Protection of Industrial Property (1883) (the "telle quelle" provision) or on the Protocol Relating to the Madrid Agreement Concerning the International Registration of Marks (1989). *See* 15 U.S.C. § 1126 (2000).

25 There is a strong argument that this requirement is incompatible with the Trademark Law Treaty. See P. Jay Hines, *The Trademark Law Treaty, The Trademark Law Implementation Act, and Changes in United States Trademark Practice*, 90 TRADEMARK REP. 513, 525 (2000).

26 *Trademark Review Commission Report,* 77 TRADEMARK REP. 375 (1987); *see also* Stephen Carter, *The Trouble with Trademark*, 99 YALE L.J. 759, 779–81 (1990) (arguing that the subsequent amendments to US law that allowed intent-to-use applications were designed to allow trade mark owners to warehouse marks for up to two years).

mark. Once again, part of the problem flows from that fact that unregistered marks can attract legal protection. Many trade mark systems provide accordingly a facility for cancelling a registered mark on the basis that it conflicts with an earlier unregistered mark.[27]

At first sight, the fact that a registered mark might be vulnerable to challenge by the owner of an earlier unregistered mark would seem to have little bearing on the information function of the register. The fact that a third party might have better title to a mark than the registered owner would not appear to impact adversely on a person searching the register. If anything, such a registration might be thought to help inform the person conducting the search of the need to steer clear of a particular mark, even if the register attributes the rights in the mark to the wrong person. It must be remembered, however, that it is highly unlikely that the scope of the registration will coincide exactly with the scope of protection enjoyed by the third party owner of an unregistered right. Thus a person who searches the register and discovers a mark of interest must ensure that they do not act on the basis of this information alone. In particular, it would be dangerous to seek to work around the registered mark without taking into account the scope of the rights that a third party might have in an unregistered mark. Equally importantly, it must be remembered that the person conducting the search might wish to approach the registered owner with an offer to purchase the mark in question or to enter into a division of use agreement. In such a case, the potential purchaser/party to a division of use agreement would have to investigate carefully the possibility that the mark might be vulnerable to a challenge from the proprietor of an earlier unregistered mark, a potentially time consuming and expensive inquiry. Whilst it would be possible to characterise these problems as merely another aspect of the false negative problem, at the very least it should be noted that the existence of the later, potentially invalid, registration will complicate the picture and make it more difficult for the would-be market entrant to work out which marks it will be safe to (contract to) use.

The problematic relationship between registered and unregistered marks creates some risk that a search of the register will produce a false positive result, but problems can also arise in cases of conflicts between two registered marks. This is particularly true in countries that place the burden of preventing the registration of confusingly similar marks solely on trade mark owners.[28] There are a number of reasons for doubting the wisdom of not citing

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27 *See, e.g.*, Council Directive 89/104/EEC, art. 4(4); Council Regulation (EC) No. 40/94, arts. 8(2)(c), 8(4), 52(1) (EU); Trade Marks Act 1995 (Cth), §§ 42(b), 43, 58, 60, 88(2)(a) (Australia).

28 This description characterises, *e.g.*, the trade mark registration system in the United Kingdom from Oct. 1, 2007. See Trade Marks (Relative Grounds) Order 2007 (S.I. 2007 No. 1976).

prior conflicting marks as a bar to registration, but, in terms of the information function of the register, the principal potential problem with such a system is that it may result in the register providing a somewhat unstable record of protected marks. This possibility arises because owners of earlier marks may fail to commence opposition proceedings on time or may decide initially to allow the later mark to proceed to registration, only to later seek cancellation of the mark. In many jurisdictions the owner will have several years in which to decide whether to bring an action for cancellation[29] and it may take many months for such proceedings to be brought to a conclusion. Consequently, there is a real risk that the register will provide a less stable record of protected trade marks than in countries where the office cites prior conflicting marks as a bar to registration. In the period between a mark being entered onto the register and it being removed at the conclusion of cancellation proceedings, it will be capable of generating false positive results that will shape the decisions of parties searching the register.

C. Other quality concerns

If searches can generate both false negative and false positive results, it is also worth saying something about the quality of the information communicated by the register in cases where the search results are accurate. Insofar as the nature of the information communicated by the register is ever discussed, it seems to be assumed that the register is capable of providing information of a type that will allow members of the public, and potential competitors in particular, to determine the scope of the rights enjoyed by the registered owner. The decision of the European Court of Justice (ECJ) in *Sieckmann v Deutsches Patent- und Markenamt*[30] best illustrates this assumption. That case marked the first attempt by the ECJ to develop a set of rules to determine how the graphic representation requirement is to be applied under EU law. These rules help control the form in which marks appear on trade mark registers in Europe, and it is significant that the ECJ took as its starting point the ideas that marks must appear on the register in a form that allows the public to "receive relevant information about the rights of third parties" and to "determine the precise subject of the protection."

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29 *See, e.g.,* Trade Marks Act 1994, s. 48(1) (UK) ("Where the proprietor of an earlier trade mark . . . has acquiesced for a continuous period of five years in the use of a registered trade mark in the United Kingdom, being aware of that use, there shall cease to be any entitlement on the basis of that earlier trade mark . . .—(a) to apply for a declaration that the registration of the later trade mark is invalid.") Moreover, it might be noted that this section goes on to provide that this five-year limitation period does not apply if the "later trade mark was applied for in bad faith."

30 [2002] E.C.R. I-11737.

The suggestion that the register allows members of the public to determine what rights third parties enjoy is much more problematic than it may at first appear. In order to establish the scope of third party rights it would be necessary to have a fairly detailed knowledge of the rules governing infringement. Infringement of a registered trade mark is generally not confined to use of a mark identical to that which is registered, nor even to a mark which has been colourably altered. Rather, infringement extends to the use of "similar" marks, a concept that has been given a broad interpretation in many jurisdictions.[31] Moreover, infringement can also extend to cases where the defendant's use is on goods or in relation to services that are dissimilar to those for which the mark is registered.[32] In other words, the scope of the trade mark owner's property can extend well beyond the mark as registered to include the exclusive right to use a (not all that) similar mark on wholly different goods or services. This might well not be obvious to a person searching the register and there is thus a danger that the register will create overconfidence as regards the scope of third party rights. The register will only perform effectively if the hypothetical trader has its hypothetical lawyer on hand to explain what the information on the register means.

A still more significant problem is posed by the fact that determining the scope of a third party's rights will at times require an investigation of what is occurring in the marketplace. This is most obviously true in cases where the person searching the register is concerned to know whether a mark might be protected against use on dissimilar goods. In many countries, protection of this type is confined to marks that "have a reputation" or are "well-known."[33] However, it will not be clear from the face of the register whether a mark meets the relevant threshold; this can only be determined by investigating conditions in the marketplace. More generally, when determining whether a trade mark has been infringed, courts tend to place a good deal of weight on evidence of actual confusion.[34] Actual confusion depends, of course, upon

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[31] *See, e.g.,* Claudia Oberhauser v OHIM [2003] E.T.M.R. 58; Sabel v Puma [1998] E.T.M.R. 1 (EU); Effem Foods v Wandella Pet Foods [2006] F.C.A. 767; Coca-Cola v All-Fect Distributors (1999) 47 I.P.R. 481; Seven Up v Bubble Up (1987) 9 I.P.R. 259 (Australia).

[32] *See, e.g.,* Council Directive 89/104/EEC, art. 5(2); Council Regulation (EC) No. 40/94, art. 9(1)(c) (EU); Trade Marks Act 1995 (Cth), § 120(3) (Australia).

[33] *Id.*

[34] The European v The Economist [1998] F.S.R. 283, 291 (evidence of actual confusion not always significant, but required to displace trial judge's view); Claudius Ash v Invicta Manufacturing (1912) 29 R.P.C. 465, 476 (per Ld MacNaghten) (UK); Australian Woollen Mills v Walton (1937) 58 C.L.R. 641, 658 (Australia); *see also* Paul Scott, *A Tale of Confusion: How Tribunals Treat the Presence and Absence of Evidence of Actual Confusion in Trade Mark Matters,* [2001] VICT. U. WELL. L. REV. 5.

confusion between the marks used in the marketplace. Courts are thus likely to determine whether infringement has occurred not merely by the similarity of the signs, but also by the appearance of the goods and how the parties have marketed the goods. Courts will therefore determine in part questions of infringement (and hence the scope of trade mark owners' property rights) by reference in part to factors that are unconnected to how a mark appears on the register.

D. What is left of the search cost argument?

As demonstrated above, registration will only ever provide a partial record of signs that enjoy protection in the marketplace and, as regards those marks that are on the register, it must be kept in mind that a registration may be invalid. Moreover, even if a mark has been properly registered, the register only provides a signpost as to the scope of the owner's monopoly. Only a person armed with a fairly developed understanding of trade mark infringement would be able to get a proper sense of the scope of the owner's rights, and building a complete picture would require investigation into how the sign has been used by its proprietor and the level of consumer recognition it enjoys. This final point leads into a more general problem with the limited information provided by the register, namely, that in order to get more accurate information it will often be necessary to investigate conditions in the marketplace. Such an investigation will involve incurring broadly similar costs as would arise if trade marks were only protected by legal mechanisms that do not require registration.

Trade mark systems thus perform poorly when judged against the argument that registration helps reduce traders' clearance costs. This does not, however, mean that the clearance cost justification for registration can be dismissed entirely. It is plain that trade mark registers do have the capacity to provide some information that traders find useful. It might, therefore, be possible to claim that registration allows searches of what is occurring in the marketplace to be targeted somewhat more accurately than might otherwise be the case. Equally, however, it must also be remembered that in practice many businesses make little use of the information provided by the trade mark system. Consequently, it is difficult to escape the conclusion that registration is an elaborate and expensive system for achieving the limited goal of reducing modestly the clearance costs of well-advised businesses.

III. Other justifications for trade mark registration

If the clearance cost argument for trade mark registration is unpersuasive, it is important to consider whether a registration system might be justifiable on some other ground. Two arguments present themselves: first, it might be said that registration is important because it provides a mechanism by which marks can be protected prior to their establishing marketplace recognition; second, it might be said that registration is important insofar as it serves to create property rights in trade signs. It will be seen that whilst neither of these arguments can be dismissed entirely, nor do they provide a convincing justification for trade mark registration.

A. Protection prior to use

If trade mark protection is normally only justified if a mark is in use, it may initially seem strange to suggest that providing a facility for protecting marks whose use has not yet commenced might provide a justification for the entire trade mark registration system. Such an argument is likely to sound particularly strange to American ears, given that intent-to-use applications are a relatively recent feature of the registration system in the United States. Nevertheless, it might be possible to construct an argument along the following lines. Traders about to embark on a new business venture benefit from the security that comes from being able to reserve for themselves the use of a sign prior to investing in the design of packaging and advertising and promotional material. Registration provides this security. In contrast, in a significant number of countries, particularly those with a British common law tradition, protection for unregistered marks only arises once the mark has begun to enjoy consumer recognition. This leaves a period during which a trader may find that its investment has been undermined by another party who, deliberately or otherwise, adopts a confusingly similar sign.

In order to demonstrate the problems with the above argument, it is necessary to distinguish between two different scenarios. The first such scenario concerns a situation where a mark has not yet been exposed to the public at all. In such a case trade mark protection is not required to prevent a rival trader from deliberately copying the mark. Such copying could only occur if information about the planned launch were leaked to the rival trader and, in many countries, it would already be possible to protect against such leaks through legal regimes that protect against the misuse of commercially sensitive information.[35] In contrast, it is by no means clear that the law ought to provide a remedy as against an innocent trader who coincidentally chooses to use a confusingly similar mark. It can be argued that the law should give priority no more to the interests of the person who applies first to register the mark than it should to the interests of the person who first uses the mark in the market-

[35] For example, through an action for breach of confidence. There are also cases in which the owner would be able to rely on copyright in the mark to prevent it from being copied by a rival trader.

place. In either case the consequence is to give one party exclusive rights in the sign at the expense of another party who will find that its investment has been wasted.[36]

The second scenario concerns a situation where a rival trader begins to use a confusingly similar mark shortly after the first mark has been exposed to the public and before it has begun to attract public recognition. As discussed above, in countries with a British common law tradition, there will be a gap between the point at which use of unregistered mark commences and the point at which it attracts legal protection. Consequently, it can be said that registration helps protect trade mark owners against unscrupulous rivals during the early days of a new business venture. Again, however, on closer examination this argument appears problematic. The fact that inherently distinctive marks do not automatically attract protection at the point they are exposed to the public is a product of the way that the action for passing off evolved. There is nothing inevitable about this limitation, as United States law demonstrates. There, inherently distinctive, unregistered marks attract protection from the moment they are exposed to the public.[37]

An important variant on the argument that registration is justified because it allows protection prior to use, concerns the situation in which a trader plans to expand gradually the geographical area across which a mark is used.

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[36] In reply, it might be said that the first to register rule is more effective at "minimiz[ing] wasteful duplicative parallel investment by giving advance notice to competitors through registration records." Chiappetta, *supra* note 1, at 67. However, this argument rests on the sort of unwarranted faith in the ability of the register to communicate information to rival traders that was criticised above. Furthermore, it might be noted that trade mark systems are far from consistent in how they resolve the tension between first registration and first use. In Australia, for example, upon discovering an application to register, a trader with advanced plans to use a confusingly similar sign might be better advised to dash to market than to abandon its plans: if the use were such as to attract consumer recognition the trader might have a ground of opposition/cancellation under § 42(b) of the Trade Marks Act 1995 (Cth). *See* Robert Burrell & Michael Handler, *The Intersection Between Registered and Unregistered Trade Marks* 35 FED. L. REV. 375, 386–7 (2007).

[37] It might be noted that this formulation is somewhat simplistic, since pre-launch advertising exposes the mark to the public, but is not sufficient to establish rights in an unregistered mark in the United States, and may not be sufficient in the United Kingdom, even if the advertising is such as to generate goodwill: *cf.* BBC v Talbot [1981] F.S.R. 228, but many commentators doubt whether this case was decided correctly, *e.g.*, LIONEL BENTLY & BRAD SHERMAN, INTELLECTUAL PROPERTY LAW 716–17 (2d ed. 2004). But, again, there is nothing inevitable about the conclusion that consumer recognition generated through pre-trade advertisement cannot form the basis of an action. In Australia it would almost certainly be possible to bring an action under § 52 of the Trade Practices Act 1974 (Cth) in such circumstances.

Registration "reduce[s] the uncertainties of future regional contests."[38] This claim can be made both in relation to the expansion of trade within a country and to trade across national boundaries, but the latter perhaps provides the simpler example. Where a trader is planning to market a product internationally it may be necessary to stagger its release—the trader may need commercial success in one country before launching the product elsewhere, administrative hurdles or problems finding appropriate premises or staff may delay a launch in one country but not another. By allowing a trader to obtain protection for a mark in a number of countries simultaneously (something that the international conventions relating to intellectual property are intended to facilitate) trade mark registration aids the transnational marketing of goods.

There is something in the argument that registration provides security to traders planning to expand the geographical reach of their activities over time, but it is important not to overstate the argument. Registration is not, for example, necessary to prevent traders from exploiting "spill over" goodwill. If a trader has established a reputation amongst consumers it ought not to matter that the product has not yet been marketed in the territory in question; the mark under which the product is sold should still attract protection. Any other outcome would create a real risk of consumer confusion and would allow a third party to trade off the owner's investment.[39] Trade mark registration is thus only important in cases where the use of a similar sign occurs at a time before the mark has acquired a spill over reputation amongst consumers. The question of whether the law should provide a remedy in these circumstances is, however, rather less clear cut.[40] There will be no immediate risk of consumer confusion and thus no immediate impact on consumer search costs

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38 Chiappetta, *supra* note 1, at 66. *See also* Peter Jaffey, *The New European Trade Marks Regime*, 28 I.I.C. 153, 159–60, 161 (1997).

39 UK cases such as Anheuser-Busch v Budejovicky Budvar [1984] F.S.R. 413 and Bernardin v Pavilion Properties [1967] R.P.C. 581, which indicate that a trader cannot maintain an action for passing off unless it is trading in the jurisdiction, should thus be regarded as wrongly decided. It is notable that the position in other Commonwealth countries is different. *See, e.g.*, ConAgra v McCain Foods (1992) 23 I.P.R. 193 (Federal Court of Australia—Full Court); *see also* Allison Coleman, *Protection of Foreign Business Names and Marks under the Tort of Passing Off*, 6 LEG. STUD. 70 (1986).

40 It is interesting to note in this context the outcome in Dawn Donut Company v Hart's Food Stores, 267 F.2d 358 (2d Cir. 1959) (refusing injunctive relief in a situation where there was little likelihood that the plaintiff would expand into the defendant's trade area). *See also* Thomas L. Casagrande, *The "Dawn Donut Rule": Still Standing (Article III, that is) Even with the Rise of The Internet*, 90 TRADEMARK REP. 723 (2000); Jaffey, *supra* note 38, at 178–80.

in such a case;[41] whilst the first trader's interests may be harmed in the sense that its preparations for release in the territory in question will be upset, the second trader will not be benefiting from the first trader's investment, such that the misappropriation argument for trade mark protection is only weakly implicated.

The argument that registration is required in order to allow trade mark owners to expand gradually the geographical scope across which a mark is used is thus far from conclusive, particularly when one bears in mind the impact registration may have on innocent traders who do not think to check the register. Moreover, it must also be remembered that registration creates an opening for the making of speculative trade mark applications on the part of those who have no intention of using a mark, such that (absent strong mechanisms to detect and remove marks whose use has never commenced) a registration facility may actually hinder traders who wish to expand into new markets.[42]

B. The property argument

In many jurisdictions registration plays a key role in creating property rights in trade signs. That is, it can safely be said that registration serves to confer more property-like characteristics on trade marks in most countries, without plunging into conceptual disagreements about when, precisely, it is appropriate to classify trade mark rights as "property" rights.[43] Thus, insofar as the "propertisation" of trade marks produces desirable outcomes, this provides a *prima facie* justification for trade mark registration. Writing within the British common law tradition, Brennan argues that registration is important because

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41 It might nevertheless be possible to argue that the wider the geographical reach of a mark, the more consumer search costs are reduced, an argument that it would be tempting to reinforce by reference to the increased mobility of consumers and to the possibility that consumers will benefit from the economies of scale offered to producers who are able to produce and market goods on a global basis. It is important, however, to treat claims about increased consumer mobility with a considerable degree of scepticism. *See* Carter, *supra* note 26, at 789–92. The weak nature of the product guarantee function of trade marks must also be kept in mind: there is nothing that requires trade mark owners to produce identical products across national boundaries and, in practice, traders are often forced to adapt their products to take account of local sensibilities and tastes.

42 *See also* Graeme Dinwoodie, *Trademarks and Territory: Detaching Trademark Law from the Nation-State*, 41 HOUS. L. REV. 885, 898 (2004), noting that the use of registration to create uniform rights throughout a territory will tend to seem particularly attractive in the context of conscious efforts to create a common market, but pointing out that the broad protection conferred by registration can also increase market clutter and hence act as a barrier to trade.

43 As to which, *see, e.g.*, Lionel Bently's chapter in this volume.

the property form provides owners with extra security as against misuse and future claims to ownership made by licensees. Registration therefore helps ensure that the law is neutral as between the vertical integration of a business through ownership (the creation, in ordinary parlance, of "a firm") and the vertical integration of business through contract (the creation of a "firm-like" structure).[44] Rather more obviously, the shift to the property form might be thought desirable because it often makes it easier to transfer title to a mark. More specifically, in many countries it is not possible to assign unregistered marks separately from the business to which the goodwill attaches,[45] and it may not be possible to transfer a mark at all if it is taken to represent a personal connection between the original owner of the mark and the goods.[46]

The suggestion that registration is desirable in order to secure the propertisation of marks is, however, not free from difficulty. First, there is no consensus that trade mark law ought to be moving in this direction. In particular, despite the international trend towards allowing trade marks to be assigned in gross,[47] such assignments remain controversial.[48] The United States still prohibits the selling of a trade mark without its associated goodwill,[49] and questions remain about how the judiciary is likely to respond even where the legislative regime seems to permit assignments in gross.[50] Second, and more

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44 David Brennan, *The Trade Mark and the Firm*, [2006] I.P.Q. 283; *see also* Shelley Lane, *Goodwill Hunting: Assignments and Licences in Gross after* Scandecor, [1999] I.P.Q. 264 (distinguishing "fact based" and "rule based" approaches to determining ownership of goodwill); and Chestek, *infra* n. 52.

45 *See, e.g.,* Scandecor v Scandecor [2001] E.T.M.R. 74, 809–10; Barnsley Brewery v RBNB [1997] F.S.R. 462, 469; Pinto v Badman (1891) 8 R.P.C. 181, 194–5 (UK).

46 *Scandecor* [2001] E.T.M.R. 74, 810 (giving the example of a mark used by an artist).

47 TRIPS Agreement, art. 21; Trademark Law Treaty, art. 11(4)(iv), *see also* Singapore revision, art. 11(3)(iv).

48 Compare Carter, *supra* note 26, at 785–6; Mark Lemley, *The Modern Lanham Act and the Death of Common Sense*, 108 YALE L.J. 1687, 1701–10 (1999); and Michael Pulos, *A Semiotic Solution to the Propertization Problem of Trademark*, 53 UCLA L. REV. 833, 861–3 (2006); with Allison McDade, *Trading in Trademarks—Why the Anti-Assignment in Gross Doctrine Should be Abolished when Trademarks are Used as Collateral*, 77 TEX. L. REV. 465 (1998), and Irene Calboli, *Trademark Assignment "With Goodwill": A Concept whose Time has Gone*, 57 FLA. L. REV. 771 (2005).

49 15 U.S.C. § 1060 (2000).

50 *See, e.g.,* Heintzman v 751056 Ontario (1990) 34 C.P.R. (3d) (Federal Court of Canada, Trial Division) (holding that assignment in gross had deprived the mark of distinctiveness); Elizabeth Emanuel v Continental Shelf 128 [2006] E.T.M.R. 56 (ECJ) (emphasising that, on the facts, the goodwill associated with the mark had been assigned together with the business making the goods). In Australia there is uncertainty

importantly for present purposes, there is only a weak connection between registration and the conferral of property-style protection. The refusal of the common law to recognise a true proprietary right in unregistered marks is, at least on one interpretation, merely an historical accident, a product of the fact that the passing off action has its origins in the tort of deceit. Thus, if one were to accept Brennan's argument that the law should provide "structure neutral choices" to traders as regards the mode of vertical integration they employ,[51] it would be a relatively simple matter to achieve this by reconceptualising the person to whom goodwill accrues for the purposes of the tort of passing off.[52] Similarly, if one were to conclude that marks ought to be assignable in gross, there would be no insurmountable obstacle to allowing unregistered marks to be assigned in this way.

Even if there is only a weak link between registration and the conferral of property-type rights on marks, registration might still be said to be important insofar as it provides a mechanism to record ownership of marks and transactions therewith. That is, registration might be thought desirable because it creates a publicly accessible record of the rights that subsist in marks, in much the same way that land registers are intended to provide reliable information about rights over land. On closer inspection, however, the analogy with land registration quickly breaks down.[53] First, it is important to remember that registration does not even provide a guarantee that the property exists at all—large numbers of invalid marks will be sitting on the register at any given time. Secondly, even when we turn to the recording of interests in trade marks, we find that trade mark registers do poorly when judged against the record they provide of entitlements over signs.

In the United Kingdom there is no obligation to register any form of transaction involving a trade mark. Admittedly, there are a number of significant advantages to such registration, in particular, as regards the vulnerability of

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about how § 52 of the Trade Practices Act 1974 (Cth) (which prohibits traders from engaging in conduct that is likely to mislead or deceive) intersects with § 106 of the Trade Marks Act 1995 (Cth) (which allows marks to be assigned "with or without the goodwill of the business concerned").

51 Brennan, *supra* note 44, at 209.

52 *Cf.* Pamela Chestek, *Who Owns the Mark? A Single Framework for Resolving Trademark Ownership Disputes*, 96 TRADEMARK REP. 681, 703–05 (2006) (arguing for what might be described as a mixed approach to determining ownership issues (*cf.* Lane, *supra* note 44) and insisting that, in essence, the same rule should apply to both registered and unregistered marks).

53 *See* BENTLY & SHERMAN, *supra* note 37, at 953 ("The [trade marks] register cannot be said to operate as a 'mirror' of legal rights over trade signs in the way the Land Registration system purports to be a reflection of proprietary rights over real property.").

unregistered transactions to later dealings,[54] but such a system hardly seems compatible with the claim that the registration system is justified primarily on the basis of the information that registration provides about dealings in respect of trade marks. In the United States recordation of assignments is also purely voluntary, but, again as in the United Kingdom, is advisable in order to protect the assignee against later *bona fide* purchasers.[55] As regards the registration of security interests in trade marks, however, it is unclear whether the proper approach is to record the interest with the US Patent and Trademark Office or to record the interest using the state Uniform Commercial Code procedure.[56] In Australia transfers of title (whether through assignment or by operation of law) only take effect once an application to register the transfer is lodged with the registry.[57] However, there is no requirement under the Trade Marks Act to register other types of transaction and although other types of interests can be registered, the Act specifically provides that registration does not provide "proof or evidence that the [registrant] has that right or interest"[58]—the registry refuses to take any responsibility for policing the accuracy of the register in this respect. Significantly, the Australian Corporations Act 2001 (Cth) does require charges over intangible assets (including trade marks) to be registered,[59] but registration in this context means registration with the Australian Securities and Investment Commission, not with the trade marks office. The trade mark register is thus not even the best source of information as to some of the interests that may subsist in a mark in Australia. Consequently, although trade mark registers do play a role in providing a record of entitlements over trade signs, this role appears to be very much a secondary consideration in most jurisdictions. The information provided by the register will often be incomplete and trade mark registers are not always the most appropriate vehicle for recording certain types of transaction and hence may not even provide the most comprehensive source of information as to earlier dealings.

C. Thinking about reform

Trade mark registration cannot be dismissed as performing no useful function. However, taken individually, the potentially valuable roles that registration performs—in providing information about whether a sign is protected, in

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54 Trade Marks Act 1994, § 25(3).

55 15 U.S.C. § 1060(4) (2000).

56 J. THOMAS MCCARTHY, 3 MCCARTHY ON TRADEMARKS AND UNFAIR COMPETITION ¶ 18.7 (2007).

57 Trade Marks Act 1995 (Cth), §§ 107, 110.

58 *Id.* § 116.

59 § 262(1)(e).

providing a mechanism for protecting marks prior to use, and in providing a record of entitlements over trade signs—do not explain trade mark registration systems as they exist at present. It is also important to avoid the temptation of leaping to the conclusion that an adequate explanation for registration can be found once the potential benefits offered by registration systems are viewed collectively. This would feel too much like a desperate attempt to cobble together an *ex post* justification for a system whose abolition is, practically speaking, more or less unimaginable. Nevertheless, even if we accept that we might well choose not to create a facility for trade mark registration if we were to start with a blank slate, given that registration is here to stay, it makes sense to seek to ensure that it works as effectively as possible.

Some of the problems that detract from the utility of the register are, admittedly, not capable of resolution. The only way to ensure that the register provides a comprehensive picture of signs that enjoy legal protection would be to remove protection for unregistered marks, a drastic step that would open the door to unscrupulous traders. Moreover, it would only be possible to determine the precise scope of the owner's rights from the face of the register if the scope of the trade mark monopoly were narrowed to the point that it would no longer provide adequate protection against confusion or misappropriation. It is precisely for this reason that the author remains sceptical about the ultimate value of registration. Nevertheless, there are things that could be done to ensure that the register serves publicly desirable ends, most of which relate to ensuring that the register acts as a valuable source of public information. For example, implicit in what has already been said, is that in order for the public benefits of registration to be maximised, the registry would have to pay significant attention to ensuring that, where possible, unregistered marks were taken into account when assessing registrability, would have to ensure that only genuine intent-to-use applicants were accepted, would have to have rigorous procedures for detecting and removing unused marks from the register, and would have to take much greater responsibility for recording interests in marks.

The analysis presented in the next section does not, however, focus on what, precisely, would need to be done to improve the operation of the register (this would vary from country to country, but in most cases would probably require a mix of legislative reform and a willingness to use existing powers rather differently). Nor does it provide a detailed account of the ways in which present registry performance is unsatisfactory—it will, however, provide some examples of this type and it is hoped that these examples, together with some of the material presented earlier, are sufficient to make the case that, in theory, there is considerable room to improve how registries function. The remainder of this chapter will concentrate instead on why trade mark registries are unlikely to embrace the necessary changes, irrespective of whether these changes come in the form of proposals for legislative reform[60] or exhortations to alter registry practice. Taking Australia as a case study, it will be argued that recent management reforms, the way in which registries interact with government, and the financial interests of registries all push in the opposite direction. Inevitably, this analysis causes this chapter to touch upon more general concerns about the way in which trade mark offices are applying registrability criteria at present. Insofar as possible, however, the analysis will remain focused on those areas that impact most directly on the question of whether the registry serves any useful function (that is, to reiterate, non-use, speculative trade mark applications, the relationship between registered and unregistered marks and the recording of interests in marks), rather than, say, on the question of whether the registry has relaxed the distinctiveness requirement over recent years.

The material that follows is not, of course, to suggest that the attitude of the intellectual property bureaucracy is the only factor that is likely to shape the future development of the trade mark system. But it is to suggest both that the bureaucracy needs to be taken seriously as a site of power within the intellectual property system and that not all of the negative developments that have taken place in intellectual property law over recent years can be put down to the effects of lobbying by powerful interests.[61]

IV. The role of the trade mark bureaucracy

A. The financial imperative

The suggestion that the bureaucracy is likely to resist attempts to refocus its efforts on ensuring that the register serves publicly desirable ends chimes with a popular critique of the operation of intellectual property offices, namely, that the increasing expectation that such offices will be self-funding has resulted in a decline in the quality of the subject matter accepted for registration. More specifically, it is said that because intellectual property offices derive much of

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[60] Part of the analysis presented below is therefore premised on the belief that the intellectual property bureaucracy has a significant degree of influence over the legislative process (something that is certainly now true in Australia and is quite probably true in other parliamentary democracies) and/or will be able to exert considerable control over how intellectual property legislation is interpreted and applied, an issue that goes to the relationship between the courts and the bureaucracy. *See infra* Section IV(D).

[61] In this respect the author would add his voice to those who are calling for greater attention to be paid to the role that national intellectual property offices play in negotiating international treaties and in driving a process of "soft" harmonisation. *See, e.g.*, Peter Drahos, *Death of a Patent System—Introduction, in* 11 PERSPECTIVES ON INTELLECTUAL PROPERTY: DEATH OF PATENTS (Peter Drahos ed., 2005), at 4.

their income from the fees paid by users, there is a financial imperative to accept as many applications as possible. This both ensures that applicants are encouraged to come forward in the future and enables offices to generate income from renewal fees.[62] This analysis certainly has some resonance in Australia, where there has been an expectation that the intellectual property bureaucracy, now officially entitled "IP Australia," would be a "full-cost recovery" arm of government since at least the mid-1990s. Consequently, IP Australia is now expected to be almost entirely self-funding, using the revenue it receives in fees to fund its operations.[63] It would also be obtuse to deny that running or being a senior manager within a self-funding arm of government must be an attractive proposition—self-funding brings with it a degree of autonomy that any bureau chief would be loath to surrender.

It is important, however, to be careful to define what, precisely, we mean by a decline in trade mark quality and to be clear about the manner in which this decline has manifested itself. Taking the latter point first, in order to demonstrate convincingly that the need to increase fee income has led to a decline in trade mark quality, it would be necessary to show that pressure is being brought to bear on examiners to let through as many applications as possible. Yet, as far as the author has been able to determine, the internal performance review criteria for trade mark examiners in Australia focus on the speed and quality of decision-making, not on number of acceptances per se. Moreover, to turn to the first point, if anything there seems to have been a real drive to increase quality control over recent years, with significant changes taking place in supervision, auditing and training. Additionally, the suggestion that those working within IP Australia see their job as being to maximise revenue sits very uncomfortably alongside the impression the author has formed of how individuals working within the trade mark office perceive their roles.

This is not to suggest that the expectation that IP Australia will be self-funding is of no importance, but rather that this expectation has a much less direct impact than is sometimes presumed. Generally speaking, therefore, it would probably be more accurate to treat the need to generate revenue from applicants as a background influence that feeds into the way in which the trade mark office and the rest of IP Australia sees its role. The funding arrangements for IP Australia help to underpin the customer service mentality which, it will be argued below, is antithetical to reforming how the system operates. This

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62 *See, e.g.*, PETER DRAHOS & JOHN BRAITHWAITE, INFORMATION FEUDALISM: WHO OWNS THE KNOWLEDGE ECONOMY (2002).

63 *The Department of Industry, Tourism and Resource's Annual Report 2004–2005*: *IP Australia's Financial Statements* 308, *available at* http://www.itr.gov.au.

mentality has not resulted in a failure to monitor the quality of individual decisions (far from it), but rather in the registry refusing to accept that it bears any responsibility at all for investigating or policing certain matters.

The indirect influence that questions of finance have on how IP Australia perceives its role can be illustrated by noting the way in which IP Australia's funding arrangements structure its reporting requirements. In order to enable IP Australia to fund its own activities, it was necessary to set up a "special account" within the meaning of the Financial Management and Accountability Act 1997 (Cth). Such accounts record rights to draw money from the Consolidated Revenue Fund—in the case of IP Australia an amount that matches the fee income it generates.[64] Importantly for present purposes, however, the 1997 Act also imposes particular obligations on chief executives who administer special accounts, including a requirement that they promote "efficiency" and "cost effectiveness."[65] These requirements are reflected in the way IP Australia evaluates its performance and presents its annual report. Inevitably these requirements push IP Australia towards a focus on enumerable outcomes that allow comparisons to be made over a number of years—how many applications were received, how long did it take to process them, what was the cost to applicants, did the system generate a profit—and away from an emphasis on the importance of professional judgment and maintaining the quality of the information communicated by the register.

B. IP Australia and the new public management

The fact that IP Australia now sees its role in terms of providing a service to its "customers" would come as no surprise to anyone familiar with the direction of reforms within the Australian public service over the past twenty or so years.[66] Australia, like many other Western countries, has embarked upon a prolonged series of reforms that have been heavily influenced by the "new public management" agenda, under which the government attempts to apply the language, goals and management techniques of the private sector to the

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64 This somewhat circuitous arrangement is required in order to comply with §§ 81 and 83 of the Constitution, which control how the Commonwealth raises and distributes revenue.

65 Financial Management and Accountability Act 1997 (Cth), § 44.

66 *See generally*, as to the reforms that have taken place in the Australian Public Service during this period, ANDREW KORAC-KAKABADSE & NADA KORAC-KAKABADSE, LEADERSHIP IN GOVERNMENT: STUDY OF THE AUSTRALIAN PUBLIC SERVICE 106–16 (1998); ALEXA TURNER, AN ANALYSIS OF CHANGES TO THE AUSTRALIAN PUBLIC SERVICE UNDER THE COALITION GOVERNMENT 1996–2001 (2001); SPENCER ZIFCAK, NEW MANAGERIALISM: ADMINISTRATIVE REFORM IN WHITEHALL AND CANBERRA (1994).

delivery of public services.[67] Even a cursory glance at the IP Australia website shows the depth of influence of the new public management agenda. IP Australia has a mission statement: it defines its role by reference to five goals, four of which would not look out of place in promotional material for a private corporation;[68] it emphasises its commitment to monitoring and improving "customer satisfaction;" and the very first piece of "information" that it provides about trade marks is that they "may be your most valuable marketing tool."

Not all of the consequences of the adoption of a new public management ethos are to be lamented. As was noted above, there has been an increased emphasis on quality control over recent years and there are now internal audit processes that focus on such things as how examiners conduct their research, whether they correctly identify earlier conflicting marks and whether applications are being passed on to examiners who dealt previously with earlier or similar marks. In other respects, however, the adoption of the new public management agenda is likely to act as a significant bar to reform. Some of the most powerful critiques of the new public management agenda are that increased responsiveness "is likely to expand citizens' demands for non-beneficial public services"[69] and has the potential to impact adversely on policy coherence.[70] These critiques should be borne in mind when thinking about how changes in management practices within IP Australia might detract from the rigorous policing of applications and the ability of the register to serve the public interest.

It was suggested above that the drive to measure performance by reference to clearly identifiable and quantifiable outputs means that things like increases

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67 In addition to the sources cited below, *see, e.g.*, David Farham & Sylvia Horton, *The New Public Sector Managerialism: An Assessment*, *in* MANAGING THE NEW PUBLIC SERVICES (David Farham & Sylvia Horton eds., 1993); Robert Schwartz, *Accountability in New Public Management: An Elusive Phenomenon?*, *in* PUBLIC ADMINISTRATION—AN INTERDISCIPLINARY CRITICAL ANALYSIS (Eran Vigoda ed., 2002) [hereinafter VIGODA]; Christopher Hood & Guy Peters, *The Middle Aging of New Public Management: Into the Age of Paradox*, 14 J. PUB. ADMIN. RES. THEORY 267 (2004); Kenneth Kernaghan, *The Post-Bureaucratic Organization and Public Service Values*, 66 INT. REV. ADMIN. SCI. 91 (2000).

68 These include the goals of "provid[ing] our customers with quality services that meet their needs;" and ensuring that "our operations are cost effective." The exception is the goal of ensuring that "the international IP system meets the needs of Australians."

69 Rivka Amado, *New Ethical Challenges under the New Reform Movements in the Public Administration Sector*, *in* VIGODA, *supra* note 67, at 147.

70 B. Guy Peters, *The Search for Coordination and Coherence in Public Policy: Return to the Center?*, *available at* http://web.fu-berlin.de/ffu/akumwelt/bc2004/download/peters_f.pdf.

in the number of applications and renewals and decreases in the amount of time it takes to process applications will always be treated as evidence of success. In contrast, the new public management agenda provides a strong disincentive for the registry to take responsibility for things that are not capable of easy measurement. Most importantly for present purposes, it provides a disincentive for the registry to do its best to identify potential conflicts between the mark applied for and earlier unregistered marks. In theory, there would be nothing to prevent examiners from devoting a given amount of time (say thirty minutes per application) searching for prior conflicting unregistered marks by conducting internet searches, looking through trade directories, and so on. Even if the results of such inquiries were only communicated to applicants, something that would be entirely consistent with treating applicants as "customers," the quality of the register would be improved, since some applicants would inevitably choose to abandon or modify their plans rather than persisting with applications for marks that might well be vulnerable to a subsequent challenge. However, if the registry were to accept that it ought to be checking for potential conflicts between registered and unregistered marks, it would then be necessary to design a set of performance indictors against which to measure the quality of registry "outputs."[71] The idea that examiners should do their best when dealing with unregistered marks given limited time and resources is simply not the sort of devolved decision-making process encouraged by an approach to public administration that denigrates the importance of professional judgment.[72]

Still more importantly, the new public management agenda carries with it a heavy emphasis on customer satisfaction. Whilst it is extremely difficult to chart how an institutional ethos impacts on specific outcomes, the concern must be that pressure to keep customers happy will deter the office from making inquiries that could be construed as intrusive or hostile or from taking on or exercising powers that might bring the office into conflict with applicants and owners. For example, it is worth noting in this context that the Registrar has the power under the Act to decline an application in cases where

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71 *Cf.* Patrick Dunleavy *et al.*, *New Public Management is Dead—Long Live Digital-Era Governance*, 16 J. PUB. ADMIN. RES. THEORY 467, 473 (2006) (noting that "perverse incentives may . . . arise in highly measured performance systems").

72 Amado, *supra* note 69, at 140 ("Under the new reform movement, professional judgment is to be superseded by client preferences."); MICHAEL POWER, THE AUDIT SOCIETY: THE RITUALS OF VERIFICATION 119 (2d ed. 1999) ("The power of auditing is . . . to construct concepts of performance in its own image."); *also see generally,* JAMES SCOTT, SEEING LIKE A STATE Ch. 9 (1998) (arguing that market-driven standardisation and other "high-modernist schemes" suppress the common sense and experience needed to underwrite complex activities).

the person does not intend to start using the mark,[73] but it seems that this power is almost never exercised—the office is not prepared to inquire as to the applicant's intentions, even if the examiner has reason to doubt whether the application has been made in good faith, for example, because the applicant has a history of making speculative applications.[74]

Similarly, it is notable that under current arrangements the registry does not have the power to register a mark subject to a mandatory disclaimer for the non-distinctive elements of a mark. This devalues still further the information communicated by the register about the scope of trade mark rights and it is therefore unsurprising that a recent review of the Trade Marks Act recommended the reintroduction of mandatory disclaimers.[75] Tellingly, IP Australia came out against this recommendation and one of the reasons it gave for so doing was that the benefits offered by mandatory disclaimers have to be "balanced against . . . [the] significant administrative difficulties posed by the reluctance of applicants to use disclaimers."[76] In the context of a discussion of *mandatory* disclaimers, it is difficult to see how administrative "difficulties" could be caused by the reluctance of applicants to "use" disclaimers other than through consumer dissatisfaction.

To take a final example, the desire not to upset its customers is another factor that inevitably steers IP Australia away from seeking to do more to identify and resolve conflicts between registered and unregistered marks. Perhaps the best system for dealing with this issue would be for the registry to spend a given amount of time per application searching for possible conflicts of this type. In addition to informing the applicant of the results of this search (as suggested above), examiners might be expected to take reasonable steps to contact persons who seem likely to have an interest in a conflicting unregistered mark and invite them to make submissions about whether the application should be accepted. However, applicants might well perceive such a system as hostile, and hence it would be incompatible with IP Australia's customer service ethos.

C. Constructing the trade mark office client

The need to identify a discrete group of clients, whose "satisfaction levels" can be surveyed, inevitably steers government agencies away from seeking to present the importance of their mission in terms of the general public interest

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73 *See* Trade Marks Act 1995 (Cth), §§ 27, 33.

74 *See* Burrell, *supra* note 20, at 232.

75 *Review of Trade Mark Enforcement*, *supra* note 16, at 14–15.

76 *Government's Response to the Review of Trade Mark Enforcement conducted by the Advisory Council on Intellectual Property (ACIP)* 3, *available at* http://www.ipaustralia.gov.au.

or from seeking to present the public at large as their client base. It makes any attempt to explain the value of intellectual property registration systems on the basis that such systems provide valuable information to the public much less attractive. It makes it difficult to argue that the persons served by the registration system include traders who would be inconvenienced if certain types of mark were accepted onto the register, traders who may well be blissfully unaware that the trade mark office is working on their behalf. But beyond this, new public management has very little to say about how the clients of a government agency are to be identified. Indeed, the fact that government agencies might have some scope for constructing their clients in different ways is an issue that seems to have received surprisingly little attention in the new public management literature.

Implicit in what has been said thus far is that IP Australia takes the view that its core clients, whose needs and expectations inform how the agency conducts itself, are businesses that are either existing intellectual property owners or are seeking to register a new right.[77] In fact, this is now so well established it is easy to lose sight of the fact that there are other ways in which IP Australia could conceptualise its client base. IP Australia could, alternatively, take the position that its core clients include financial institutions and, most significantly, members of the legal profession who have dealings with the office.[78] That IP Australia has sought to construct its clients as owners and applicants is unsurprising. Government agencies need to communicate with politicians who "may not listen to details," consequently "officials must resort to short-cut methods, [t]hey invent and develop bureaucratic ideologies, that is, images of each bureau's aspirations stated in terms of ultimate policy objectives."[79] When IP Australia is faced with the need to "sell" its role to politicians, it is almost inevitable that this will be done in terms of the services that it provides to businesses whose innovation and marketing success can be said to be essential to the Australian economy. Telling politicians that the role of

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77 *See, e.g., IP Australia's Customer Service Charter Report for Apr.–June 2006*, *available at* http://www.ipaustralia.gov.au.

78 IP Australia does, admittedly, include "Attorneys and other IP professionals" (at the bottom) of its list of potential clients in its *Customer Service Charter*. Moreover, some senior trade mark practitioners are given an opportunity to provide input into IP Australia's policy formation through the Combined Interest Group (CIG) and the Executive Relationship Group (ERG) that meet regularly with IP Australia (disgracefully, very little public information is available about the CIG or the ERG or about the content of these meetings). Overall, however, the point remains that the legal profession is not within IP Australia's core conception of who its clients are and it is interesting to note that there are now plans to include owner representatives on both the CIG and ERG.

79 ANTHONY DOWNS, INSIDE BUREAUCRACY 237–8 (1967).

the office is to serve the needs of the legal profession and the banking sector can hardly seem like an attractive alternative.

The importance of IP Australia's decision to define its client base narrowly should not, however, be underestimated. Most importantly for present purposes, this decision means that the views of groups who might be expected to take a broad view of how the trade mark system ought to function are not always heard. In other words, it results in the partial exclusion of groups whose views might to some degree act as a surrogate marker for ensuring that the trade mark system is achieving publicly desirable ends. That this has occurred cannot be explained solely by reference to IP Australia's adoption of the new public management agenda. But this in turn means that the obstacles to persuading the bureaucracy to refocus its efforts go beyond the fact that this would run counter to the thrust of recent management reforms. These reforms have required the bureaucracy to identify specific clients. The bureaucracy has adapted to this by sharpening its bureaucratic ideology—the intellectual property system promotes economic growth by providing a service to business; to change this would impact upon the way the intellectual property bureaucracy communicates with the rest of government.

In order to help demonstrate that government agencies have some scope for constructing their clients in different ways and in order to begin the process of identifying the consequences of IP Australia's decision to define its client base narrowly, it is perhaps worth drawing a contrast between the position occupied by the legal profession in relation to IP Australia and the position occupied by solicitors in relation to the Land Registry for England and Wales. The Land Registry has always had to ensure that its practices found favour with the legal profession and hence it has always seen the maintenance of a good relationship with the legal profession as essential to the performance of its role.[80] The creep of the language of new public management into the UK Land Registry's publications and pronouncements has not done much to alter the position—members of the legal profession have simply been relabelled as one of the Land Registry's core group of "customers."[81] The fact that the legal profession sits close to the heart of the operation of the land registration system in the United Kingdom may help explain why maintaining the accuracy and reliability of the register has remained central to the Land Registry's mission.[82]

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80 For an historical analysis, *see* Alain Pottage, *The Originality of Registration*, 15 O.J.L.S. 371 (1995).

81 Information about how the Land Registry constructs its client base can be gleaned from its *Customer Service Statement*, from the way it conducts its customer-service surveys, and from the training programmes it offers. *See* http://www.landregistry.gov.uk.

82 *See* Nicola Jackson, *Title by Registration and Concealed Overriding*

There are, of course, other factors that may help explain why the UK Land Registry has not lost sight of its central purpose, including the fact there is no obvious, more politically attractive, alternative way in which the Land Registry could present its role. Special mention should also be made in this context of the interest that financial institutions have as mortgagees in ensuring that the Land Register is functioning effectively. But equally, it might be noted that such institutions have precisely the same interest in ensuring that the rights recorded on the trade mark register are stable and that the ownership details, including the existence of any encumbrances, are recorded accurately. Admittedly, such institutions have much less at stake in the case of trade mark registers than they do in the case of land registers, but when thinking about why the register does not provide a more accurate reflection of the interests that subsist in marks, it is worth remembering that financial institutions are largely excluded from Australia's understanding of who its clients are.

IP Australia's decision to define its core clients as applicants and owners has also had other important consequences. This logic has, for example, led IP Australia to expend considerable resources developing self-filing support services for trade mark applicants: its clients ought to be able to avoid expensive legal fees. Still more importantly, this logic means that customer satisfaction is always judged from one narrow perspective. This point is best illustrated by thinking about what customer satisfaction might be taken to mean if members of the legal profession were to be treated as IP Australia's principal client group. It has to be remembered that legal practitioners have to appear before the trade mark office in a range of capacities (they will not always be acting for a party seeking registration). Thus if legal practitioners were to be treated as IP Australia's core clients, this would inevitably lead to the performance of the trade mark office to be judged against a wider set of criteria.[83]

More generally, and despite what academic commentators sometimes intimate, in the author's experience legal practitioners are often concerned about

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Interests: The Cause and Effect of Antipathy to Documentary Proof [2003] L.Q.R. 660, for a discussion of recent legislative reforms.

83 It might be objected that IP Australia's larger clients (in particular) will interact with the office in a range of capacities and thus can also be expected to adopt a broad view of the functioning of the trade mark system. The response is that IP Australia views its relationship with its clients in terms of individual interactions, rather than in terms of developing a good long-term relationship with its most important clients. Any other approach would create the suspicion that the office was favouring big business at the expense of small and medium-size enterprises and would leave it open to significant criticism. This further reinforces the point that account must be taken not only of the development of a customer service ethos, but also of the political considerations that lead IP Australia to construct its client base in a particular manner.

the overall shape and health of the trade mark system.[84] Combined with the fact that some practitioners are increasingly seeing their clients being inconvenienced by marks that are not in use or that ought to be struck off the register for some other reason, it is unsurprising that lawyers have not universally welcomed the shift towards a more applicant- and owner-friendly stance. For example, it is interesting to note that in their submissions to recent reviews of the operation of the Trade Marks Act, major law firms in Australia have, *inter alia*, expressed their support for the introduction of a requirement of proof of use on renewal, opposed any increase in the cost of bringing a non-use application, and argued that the office is being overly generous when granting trade mark owners extensions of time in which to provide evidence of use.[85] Similarly, it should be noted that some senior trade mark practitioners in Australia have become concerned about a possible decline in the number of successful oppositions over recent years and that the legal community has expressed strong support for the reintroduction of mandatory disclaimers.[86]

On a rather different note, it is worth saying something about how IP Australia's focus might have an indirect effect on how segments of the legal profession are regulated. IP Australia has considerable input into the regulation of trade mark (and patent) attorneys. Strictly speaking, the Professional Standards Board for Patent and Trade Mark Attorneys is an independent body, which is responsible for regulating the professional conduct of trade mark attorneys. In practice, however, there is an extremely close relationship between the Board and IP Australia. The administrative support staff who assist the Board are IP Australia employees and the Director General of IP Australia is an ex-officio member of the Board. The other members of the Board are appointed by the Minister for Industry Tourism and Resources, the Minister to whom IP Australia reports, and it seems likely that the Director General of IP Australia is asked to recommend names to the Minister.

The Professional Standards Board has developed and administers a *Code of Conduct* that is designed to provide ethical guidance to trade mark attorneys.[87] Unfortunately, however, this code deals almost exclusively with the relationship between attorneys and their clients; it fails to provide any express acknowledgement of the duties attorneys might owe to third parties or to the

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84 The author has formed this view from conversations and other dealings with lawyers who practise predominantly in the intellectual property field. Trade mark practitioners who are members of that elusive species *homo economicus* may well take a different view.

85 *See* Burrell, *supra* note 20, at 245–6 and the sources cited therein.

86 *See Review of Trade Mark Enforcement*, *supra* note 16, at 14–15.

87 *Available at* http://www.psb.gov.au/complaints.htm.

public generally. Consequently, the code contains no clear statement to the effect that trade mark attorneys must not help their clients to apply for intellectual property rights that they know beyond reasonable doubt ought not to be granted.[88] Consequently, trade mark attorneys are not clearly prohibited from applying for a mark after a client has disclosed that she does not intend to use it or from applying to renew a mark that the attorney knows has not been in use for many years. Given the nature of the relationship between IP Australia and the Professional Standards Board, it seems reasonable to suggest that IP Australia's customer service ethos may have spilt over into the way in which trade mark attorneys are regulated.

More generally, IP Australia plays an important role in shaping elements of intellectual property practice. Its focus on meeting the needs of its customers and its accompanying reluctance to probe into certain issues (such as intent to use) is hardly a stance that is likely to encourage trade mark attorneys or, for that matter, solicitors to resist client pressure to apply for or renew marks which they know to be invalid, particularly at a time when there is widespread concern that changes in the nature of legal practice may themselves have undermined ethical standards.[89]

In summary, IP Australia's decision to construe its client base narrowly leads to two different, but ultimately interconnected, problems. First, it leads IP Australia to adopt an overly narrow view of its role and how to measure its performance. The emphasis it places on meeting the needs of applicants and owners does not, of course, mean that the trade marks office lets every application that comes before it proceed to registration, nor does it mean that hearing officers consciously favour applicants and owners in opposition and non-use proceedings. Rather, the point is that the institutional focus may help to create a culture or a mindset within the office that is antithetical to ensuring that the trade mark register is as accurate a source of information as possible. It feeds into and helps underpin the refusal of the office to make even cursory inquiries about whether an applicant intends to start using a mark or to do as much as reasonably possible to take unregistered marks into account when assessing registrability; it leads the office to give little attention to function of the register in providing a stable and comprehensive record of the rights that subsist in a mark. Secondly, although, generally speaking, members of the legal profession can be expected to do more than focus on the needs of applicants and owners, when it comes to the question of whether lawyers are likely

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88 Such a duty can, at best, be inferred from an attorney's general duty not to engage in "practices which are misleading or deceptive": *Code of Conduct* ¶ 4.2.9.

89 *See, e.g.,* Donald Nicolson, *Making Lawyers Moral: Ethical Codes and Moral Character,* 25 LEGAL STUD. 601, 625–6 (2005).

to resist client pressure to apply for or renew marks that they know are invalid, the regulatory framework governing trade mark attorneys and the broader working environment in which legal professionals are operating (into which IP Australia's customer service ethos feeds) makes such resistance less likely than might otherwise be the case.

D. The role of the courts and bureaucratic resistance

No attempt to take account of the influence of the bureaucracy's attitudes and ideology on the trade mark system could be complete without also considering how the courts and the bureaucracy interact. This is a potentially mammoth inquiry. The analysis presented here will therefore concentrate solely on why it is important not to assume that the courts will be able to ensure that the trade mark registration system meets publicly desirable ends, irrespective of the attitude of the bureaucracy. The most serious problem with this proposition is that it assumes that the courts will be able to force an alternative view of the objects of the trade mark system on the registry, ignoring the possibility that the registry may resist any such shift. The way in which registries react to, distil and use court judgments is an issue to which far too little attention has been paid. The author's impression is that conscious resistance to court decisions is a surprisingly rare occurrence in most countries—registries might be expected to take a rather dimmer view of the courts meddling with "their" system than generally seems to be the case. Nevertheless, active resistance to court decisions can and does occur. Moreover, it is perhaps most likely to arise in response to cases in which the courts are demanding a fundamental shift in registry work practices of the type that would be required in order to refocus the trade mark system on achieving publicly desirable ends.[90]

The reaction of the Australian trade mark office to the decision of the Federal Court in *Advantage-Rent-A-Car v Advantage Car Rental*[91] provides a nice illustration of bureaucratic resistance and of the manner in which it can manifest itself. The background to that case was that, during opposition proceedings, the registry had taken the view that it could not be required to determine an issue of law other than in the field of registered trade marks. Consequently, the registry had refused to consider the opponent's argument that the application should have been rejected because use of the mark would amount to an infringement of copyright and hence "would be contrary to

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90 Jay Thomas has made the related point in the patent context that "reforms that heighten examiner burdens will be employed grudgingly or not at all." John R. Thomas, *The Responsibility of the Rulemaker: Comparative Approaches to Patent Administration Reform,* 17 BERKELEY TECH. L.J. 727, 750 (2002).

91 [2001] F.C.A. 683.

law."[92] In rejecting the registry's argument, Mr Justice Madgwick made it clear that by adopting such an approach the registry was failing in its duty, and that a court could not condone "reticence on the part of an administrative decision-maker to express an opinion on a matter of law."[93]

The potential significance of the *Advantage* decision should not be underestimated. Read naturally, the case seems to require the registry to take account of not only copyright protection, but also, much more importantly, the possibility that the mark applied for might conflict with an earlier unregistered mark.[94] The registry, however, has displayed a rugged determination to place the narrowest construction possible on the *Advantage* decision. For example, the registry has taken the position that because *Advantage* was only concerned with opposition proceedings, it is entitled to take a narrow view of the factors that might make a mark unregistrable at the examination stage. But in order to justify this approach the registry relies on an argument of bureaucratic convenience,[95] which was precisely the argument that was rejected in *Advantage*. Similarly, the registry has seized on the fact that all of the examples developed by Madgwick J as to the scope of the registry's obligation to determine whether use of the mark would be contrary to law concerned the operation of other statutory provisions. Consequently, the registry still adopts the position that, even in opposition proceedings, it is not required to consider potential conflicts between the mark applied for and common law rights, including those that arise by reference to the tort of passing off.[96]

Given the tiny proportion of cases that reach the courts, the possibility that registries will actively resist the implications of a decision like *Advantage* creates a significant limit on the courts' ability to refocus the trade mark system. To this can be added the fact that developments that run contrary to the bureaucracy's ethos may be greeted by a form of subconscious resistance, manifested in a "that couldn't possibly be what the judge intended" mentality. When one also takes account of the fact that decisions may be handed down by non-expert judges who may see little reason to challenge the registry's

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92 *See* Trade Marks Act 1995 (Cth), § 42(b).

93 *Advantage-Rent-A-Car* [2001] F.C.A. 683 ¶ 26.

94 This is because of the potential breadth of § 42(b) of the 1995 Act.

95 *See Australian Trade Marks Office Manual of Practice and Procedure* ¶ 30.3.2, *available at* http://www.ipaustralia.gov.au/resources/manuals_trademarks.shtml.

96 *Id.* Registry decisions are not entirely consistent in adopting this position, but it is neverthless fair to treat this as the registry's dominant approach. A review of opposition decisions in this area reveals that opponents have only rarely sought to rely on passing off in the context of § 42(b), Burrell & Handler, *supra* note 36, at 383, presumably because their lawyers have been guided by this statement in the *Manual*.

approach or by judges who, for whatever reason, are unwilling to unsettle entrenched registry practice, there is little reason to be sanguine about the ability and willingness of the courts to control the overall direction and function of the trade mark regime.

V. Conclusion

The analysis presented here has, for the most part, been negative: it is difficult to find a convincing justification for trade mark registration; any attempt to get the system working as efficiently as possible is likely to encounter formidable obstacles, but there is no realistic prospect of trade mark registration being abolished. To finish on a more positive note, it is hoped that the final section of this chapter will help create discussion about the role and influence of the trade marks bureaucracy. This is clearly an area in which a good deal of work remains to be done. In particular, more consideration needs to be given to the relationship between the courts and the bureaucracy, but the other relationships touched upon here (for example, the relationships between the bureaucracy and the legal profession and the bureaucracy and government) also merit further analysis. In addition, it might be noted that more could be done to probe the relationship between the development of a bureaucratic ethos and the behaviour of individuals. Some reference was made here to internal systems for monitoring staff performance, but a range of other issues also deserve attention, including the possibility that staff within the bureaucracy who have internalised a traditional public service ethic may seek to resist changes in institutional culture. It is nevertheless hoped that readers will see this chapter as an initial attempt to chart how bureaucratic culture affects the operation of the trade mark system, and as an effort to focus attention on the fact that, in most countries at least, the paradigmatic form of protection for trade marks is as a species of bureaucratic property that is difficult to justify.